

South African Rand (ZAR) Paper

Part I: Macroeconomic Overview

The South African economy was on track to improve its position in the lead-up to the 2019 global pandemic. Pre-pandemic, output grew increasingly year-over-year, inflation declined towards the 3% target, and the current account was expected to improve. Despite the havoc the pandemic wreaked on the

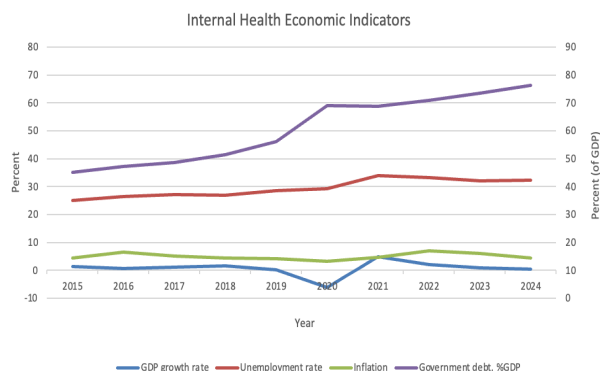


Figure 1. South African Internal Health Economic Indicators

global economy, South Africa's economy recovered well in the years immediately after the pandemic ended. This secured South Africa's position as one of the preferred investment destinations among developing economies in Sub-Saharan Africa¹. Recent economic trends suggest a decline in the economy. The most worrying of economic trends is the recent slowdown in **GDP growth**. In 2021, GDP growth reached a high of 4.86% (exceeding the standard growth rate of 3% for GDP). This growth represented the spectacular recovery of South Africa's economy, following the contractionary GDP growth of -6.17%

recorded at the height of the pandemic in 2020. In the most recent years, GDP growth fell to a mere 0.81% in 2023 and a more dire 0.53% in 2024. This slowdown in GDP growth could be attributed to the persistent structural challenges in the country's mining sector, which has long been considered a cornerstone of its economic appeal.² Output in the sector has been declining due to logistics bottlenecks and failing transport networks, constraining exports of key commodities such as coal and iron.³ Lower output in these key sectors increases the perceived risk of South African assets, raising the risk premium that investors demand to hold domestic assets.

The **unemployment rate** has also increased, soaring beyond pandemic highs. In 2024, South Africa's unemployment rate was recorded at 32.28%, piling in comparison to the pandemic highs of 28.47% (2019) and 29.225% (2020), respectively. The slowing growth of output caused by the decline in agriculture and mining sectors contributed to the increase in unemployment.⁴ Firms no longer require

¹Segun Adeyemi, "South Africa Slips in Global Investment Rankings as Investor Caution Deepens," Business Insider South Africa, published date not provided (accessed April 14, 2026), <https://africa.businessinsider.com/local/markets/south-africa-slips-in-global-investment-rankings-as-investor-caution-deepens/4812sve>.

²Adeyemi, "South Africa Slips in Global Investment Rankings as Investor Caution Deepens"

³ Adeyemi, "South Africa Slips in Global Investment Rankings as Investor Caution Deepens"

⁴"South Africa's Unemployment Rate Rises Slightly to 32.1% in Q4," Reuters, February 20, 2024, <https://www.reuters.com/world/africa/south-africas-unemployment-rate-rises-the-beforcontributeddeclinethe-labordeclinese-slightly-321-q4-2024-02-20/laborSouth>.

previous levels of labour as demand for goods decline, causing mass layoffs which contributes to the increasing number of unemployed South Africans. This combination of slowing output and rising unemployment further raises the risk premium demanded by foreign investors. Inflation stands beyond the 3% target at 4.36%. As the central bank lowers domestic interest rates to boost employment, **inflation** rises as a trade-off. Rising inflation puts pressure on the risk premium to rise as investors fear erosion of purchasing power, thereby eroding real returns. **Government debt**, which was increasing before the pandemic, has ballooned since. It was recorded at 56.1% in 2019, pre-pandemic, and has risen to a jarring 76.4% in 2024. This increase in government debt can be attributed to fiscal efforts to finance higher domestic output. However, a large portion of South Africa's government debt is denominated in domestic currency, which reduces its value in a financial crisis and thus lessens the inherent risk associated with the government's growing debt.⁵ Despite this mechanism, investors will place a higher risk premium on South Africa due to its ballooning debt.

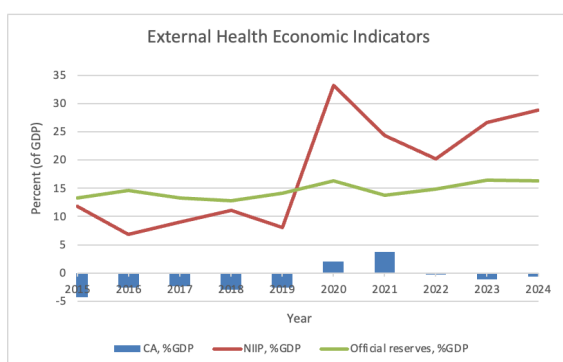


Figure 2. South African External Health Economic Indicators

South Africa's external position is less worrying than its internal position. Its **Net International Investment Position (NIIP)** has improved following a reduction amid the global pandemic. This suggests that, despite a depreciating currency and an economic slowdown, South Africa's holdings abroad are increasing at a rate that outpaces its domestically denominated liabilities.

This provides a cushion against external shocks and reduces dependence on foreign financing, thereby

offsetting some of the increases in the risk premium driven by concerns about the economy's internal health. Further, South Africa stands in a strong creditor position, which has led to higher credit ratings lowering borrowing costs for the nation.⁶ This lowered barrier of entry into the South African economy for foreign investors also aids in offsetting increases in the risk premium and in effectively lowering it.

The **current account** deficit can largely be attributed to a slowdown in output in South Africa's agriculture and mining sectors. The deficit has narrowed from -1.10% in 2023 to -0.64% in 2024. This suggests that despite a downturn in output, domestic production still seems to be at a level that can sustain, and even improve, the nation's current account. A decrease in import demand as national income grew less than expected may also feed into this effect. **Official international reserves** grew mildly,

⁵ "Is South Africa Finally Turning the Corner on Debt?" Moonstone, published date not provided, <https://www.moonstone.co.za/is-south-africa-finally-turning-the-corner-on-debt/>.

⁶ S&P Global Ratings, "South Africa's Economy Is Sluggish but Starting to Stabilize, but Structural Weaknesses Persist," S&P Global Ratings, published June 14, 2024, <https://www.spglobal.com/ratings/en/regulatory/article/-/view/type/HTML/id/3479175>.

hovering around 16% of GDP. Though the rand is a free-floating currency, in the event of a financial crisis, the government has a sizeable amount of reserves to support the currency against external shocks that could exacerbate the risk premium. The improvements in the current account and the modest level of international reserves would help lower the risk premium.

In light of the analysis of the aforementioned economic indicators, I assign South Africa's economy a **rank of 3 (mildly risky)** and recommend that the bank invest. The South African government is aware of risks to its economy and has implemented a reform program, Operation Vulindlela, to address structural challenges and promote economic reforms that will bolster growth.⁷ Its reform plan has had moderate success in addressing the structural challenges limiting its output; foreign investment will aid the government's efforts to address these barriers.

Part II: Short-Run Exchange Rate Fluctuations

The USD/rand exchange rate has fluctuated extensively during the delineated 4-month period. At the start of the time series (January 20), the midmarket USD/rand exchange rate stood at 0.069 USD per rand, and at 0.061 USD per rand at its end, reflecting a net appreciation of the rand against the US dollar over the period. Despite the rand experiencing a net depreciation over this period, exchange rates fluctuate

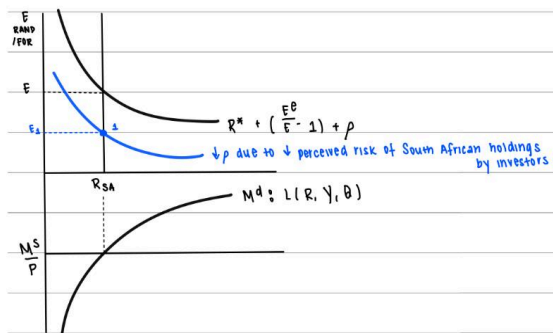


Figure 3. US Dollar to Rand Exchange Rate (January 20-April 20, 2026) from XE.com

unremittingly in response to market shocks, inducing changes to currency spot rates, which translates to appreciation/depreciation of currencies. One of which occurred during the period from Jan 21, 2026 to Jan 29, 2026, during which the USD/rand midmarket rate stood at 0.061 USD/rand on January 21 and rose to 0.064 on January 29, reflecting a steep appreciation of the rand against the US dollar. During this period, the US experienced extreme political strife due to intense immigration enforcement actions. The murder of Renne Good in early January by ICE and Border Patrol agents led to initial outcry from citizens regarding the actions of

ICE and Border Patrol agents. So, after the same entities shot and killed Alex Pretti in the same metropolitan area, during this time period, with reports indicating he was unarmed and on the ground, contradicting initial reports, the country fell into disarray, and protests against the actions of the entities

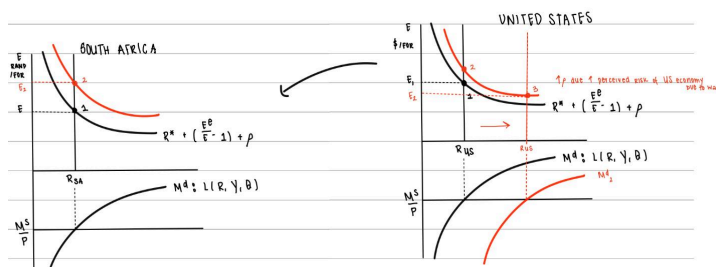
⁷ Chris Hartnack, "South Africa's Economy Is Picking Up, but Hasn't Reached a Turning Point Yet: Economist," The Conversation, published March 13, 2024, <https://theconversation.com/south-africas-economy-is-picking-up-but-hasnt-reached-a-turning-point-yet-economist-277263>



greatly intensified, including threats of a partial government shutdown from House Democrats.⁸ The impact of this shock can be illustrated using the double-panel model shown to the left. The murder of Alec Pretti and the ensuing political unrest in the US, which included the risk of a partial government (US) shutdown, raised the risk premium for the US and caused investors to revise their expectations for a higher USD spot rate (or depreciation of USD). This is represented by a downward (double) shift in

the foreign returns curve. Investors will move their capital out of the US economy and into economies like South Africa, which offer higher returns. These capital inflows put pressure on the rand to appreciate against the USD (or on the USD to depreciate against foreign currencies), as seen in the graph, where the USD/rand spot rate decreases.

During the period March 1-4, 2026, the USD/rand mid-market exchange rate decreased from 0.0629 USD/rand to 0.0605 USD/rand, representing a steep depreciation of the rand against the USD. This depreciation of the rand may have been caused by the announcement of the US-Israel ongoing bombing campaign against Iran, nicknamed “Operation Epic Fury”.⁹ This military operation has already resulted in the death of former Iranian supreme leader, Ayatollah Khamenei. The impact of this shock can



be illustrated using the double panel model above. The US's incitement of war causes uncertainty among investors and puts pressure on the risk premium to rise as investors seek safer investment destinations to protect their portfolios. This is

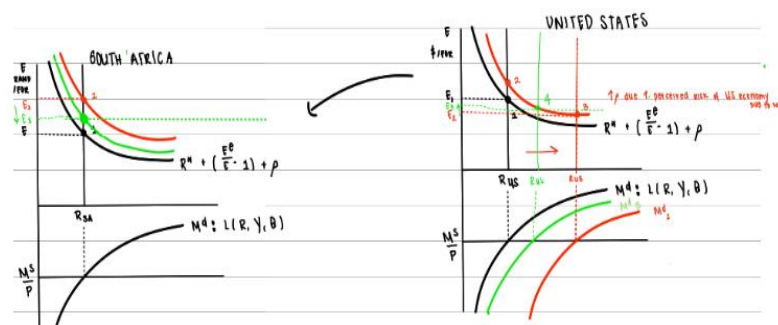
represented by the upward shift of the foreign returns curve in the US model. While the U.S. economy faces costs from the war, foreign economies are often more vulnerable to its resulting costs. Thus, US markets remain the "least risky" option by comparison as they are deep enough to absorb the effects of shocks. This phenomenon increases the immediate need for dollars, reflecting a downward shift in the US money demand curve. This spike in demand for "safe", dollar-denominated assets drives up the domestic interest rate. The increase in RUS makes dollar-denominated assets more attractive relative to foreign assets. The higher foreign return curve and increased domestic rate meet at a much lower spot rate,

⁸ “Chances for a Partial Government Shutdown Grew After Fatal Minneapolis Shooting,” CNBC, January 25, 2026, <https://www.cnbc.com/2026/01/25/minneapolis-shooting-government-shutdown.html>.

⁹ C. Todd Lopez, “Hegseth Says ‘Epic Fury’ Goals in Iran Are ‘Laser-Focused,’” Pentagon News, War.gov, March 2, 2026, [https://www.war.gov/News/News-Stories/Article/Article/4418826/hegseth-says-epicUS's incitement of war -fury-goals-in-iran-are-laser-focused/](https://www.war.gov/News/News-Stories/Article/Article/4418826/hegseth-says-epicUS's%20incitement%20of%20war%20-%20fury-goals-in-iran-are-laser-focused/).

resulting in an appreciation of the USD. There is no shock to the South African economy, so interest rates remain constant, but the increased US rate is now reflected in a higher return rate. The rates now reach equilibrium at a higher spot rate, resulting in a depreciation of the rand against the dollar.

On April 7, the USD/rand exchange rate stood at 0.059 USD/rand and rose to 0.061 on April 8th, a depreciation of the USD against the rand. During this period, a two-week ceasefire between the US and Iran was announced which injected optimism into risky assets worldwide.¹⁰ The Iran war has impacted fuel prices globally. Iran controls the Strait of Hormuz, a waterway where a large percentage of the world's oil passes through. Amidst the ongoing war, Iran has closed the waterway, placing pressure on the price of oil to increase globally due to this supply shock. The US experienced gains through the mechanism described above, but the ceasefire forced it to give some of those gains back, contributing to the depreciation of the USD. The ceasefire reduced the demand for US dollars and lowered inflation



expectations (due to falling oil prices). The money demand curve shifted inward from (2) to (3). The equilibrium US interest rate fell, and the lower US interest rate reduced the expected return on USD deposits relative to that of foreign deposits.

For the market to remain in equilibrium, the spot rate must increase, reflecting depreciation of the USD. There is no shock to the South African economy, so interest rates remain constant, but the decrease in the US rate is reflected in a lower return on foreign deposits. The rates now reach equilibrium at a lower spot rate, resulting in an appreciation of the rand against the US dollar.

Part III: Economic History and Policy Recommendation

The South African rand was introduced in 1961, replacing the South African pound, establishing a distinct national currency as the country sought independence from the United Kingdom. Initially, the rand was pegged to the British pound and later to the US dollar to provide stability amid the political and economic uncertainties during the apartheid and post-apartheid periods.¹¹ Over time, the South African Reserve Bank (SARB) implemented a series of monetary reforms to strengthen the financial system, modernize policy tools, and respond to recurring currency crises. By 1995, the rand became fully floating, and the SARB adopted an inflation-targeting framework, enhancing policy credibility and allowing the currency to respond more effectively to market shocks

The rand has experienced several currency crises throughout its history. The 1985, aptly named “Rubicon”, crisis occurred as a result of the “Rubicon” speech delivered by South African President P.W.

¹⁰ Hannah Lang, “Dollar Falls as US-Iran Ceasefire Sparks Relief Rally for Risk Ass must increase, reflecting ets,” *Reuters*, April 7, 2026, updated April 8, 2026, <https://www.reuters.com/world/asia-pacific/dollar-kept-aloft-another-trump-deadline-looms-2026-04-07/>.

¹¹ Investopedia, “South African Rand (ZAR),” accessed April 26, 2026, <https://www.investopedia.com/terms/z/zar-south-african-rand.asp>.

Botha, which failed to announce expected anti-apartheid reforms aimed at easing international pressure; it instead led to severe economic sanctions, prompting severe capital outflows and a sharp depreciation of the rand. The crisis was further intensified when Chase Manhattan Bank refused to roll over South African loans, creating a debt standstill. To manage these pressures, the government deployed the dual-rand system, which split the currency into two components: a rand for domestic trade and a separate financial rand for foreign investment. This system limited capital outflows, stabilized the rand's volatility, and preserved foreign reserves while allowing domestic economic activity to continue.¹² The Asian financial crisis of 1997–1998 caused global investors to withdraw from emerging markets. The rand depreciated sharply as investor confidence fell, while South Africa's dependence on commodity exports amplified the decline. In 2001–2002, rising government debt and labor unrest heightened perceived risk, increasing the risk premium on rand-denominated assets. The 2008 global financial crisis, sparked by the collapse of Lehman Brothers, led to capital flight from emerging markets, reduced commodity revenues, and widened the current account deficit. More recently, the COVID-19 pandemic caused a severe contraction in GDP growth, high unemployment, and increased fiscal spending, which intensified capital outflows, increased the risk premium, and led to a depreciation of the rand.

Free-floating exchange rates provide countries with monetary policy autonomy, enabling

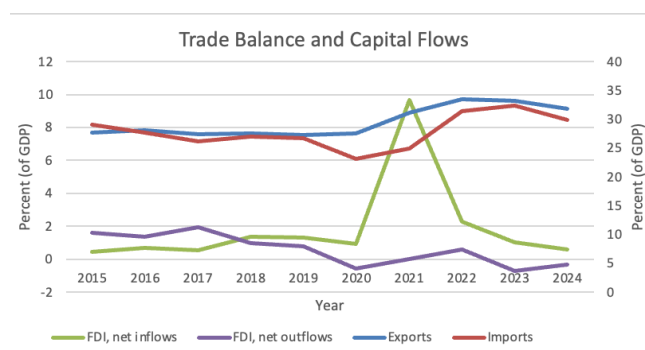


Figure 4. South African Trade Balance and Capital Flows

independent responses to domestic economic shocks and protection from speculative attacks, as the currency can adjust gradually to market pressures without the need for large reserve interventions. Fixed-rate economies benefit from the elimination of exchange rate risk and greater credibility through a stronger currency (government). The most notable drawbacks of fixed exchange rate economies are the loss of central bank autonomy and susceptibility to speculative pressures when market expectations diverge from the peg. Historical examples include Sweden (1992) and Mexico (1994),

where pegs collapsed despite adequate reserves, illustrating the fragility of fixed regimes in modern capital markets.¹³

The economy has seen modest inflows of foreign investment over the year, hovering around 2% of GDP, while net outflows have been low (hovering around 0 to -1% of GDP), suggesting investor confidence in domestic economic stability. Exports have remained elevated in the post-pandemic period, with a mild decline in recent quarters due to the slowdown in the mining sector. Imports have risen above pre-pandemic highs, putting mild pressure on the current account and reducing surplus margins. These conditions indicate that foreign capital continues to be attracted by the South African economy, but internal economic performance, including GDP growth and employment, remains the primary driver of investor risk perceptions.

Policy Recommendation

South Africa is best served by maintaining a freely floating exchange rate. Internally, the economy faces persistent structural challenges, including declining output in the mining and agriculture

¹² Wikipedia, s.v. "Financial rand," last modified April 23, 2026, https://en.wikipedia.org/wiki/Financial_rand.

¹³ Maurice Obstfeld and Kenneth Rogoff, *The Mirage of Fixed Exchange Rates* (Cambridge, MA: MIT Press, 1995), 12–25.

sectors and rising national unemployment, which constrain the export of key commodities such as coal and iron. These internal pressures increase the risk premium investors demand and raise the perceived volatility of rand-denominated assets. As Krugman notes in *The Return of Depression Economics and the Crisis of 2008*, financial crises often intensify when rigid monetary policies prevent central banks from responding to real economic shocks.¹⁴ Maintaining a floating exchange rate allows the SARB to retain monetary policy autonomy, which is essential for addressing domestic shocks and stimulating employment and output without being constrained by foreign monetary conditions. Externally, South Africa's position is comparatively strong. Its NIIP has improved since the pandemic, indicating that holdings abroad are growing faster than domestic liabilities. This creditor status reduces dependence on external financing and acts as a buffer against global shocks, lowering the external component of the risk premium. The current account deficit, while influenced by declining output, has narrowed, suggesting that trade and domestic production remain sufficiently robust. Official reserves of roughly 16% of GDP provide additional protection against potential external shocks, giving investors confidence in the rand's stability during periods of volatility.

Taken together, these internal and external conditions imply that a fixed exchange rate would unnecessarily constrain South Africa's ability to respond to domestic economic challenges and would expose the currency to speculative pressures if the peg diverged. A floating exchange rate enables natural adjustments to capital flows, provides protection from speculative attacks, and allows the SARB to implement countercyclical policies tailored to South Africa's specific needs. Combined with ongoing structural reforms under Operation Vulindlela, a floating rand regime maximizes the country's capacity to stabilize output, maintain investor confidence, and support sustainable long-term growth.

¹⁴ Paul Krugman, *The Return of Depression Economics and the Crisis of 2008* (New York: PublicAffairs, 2009), 102.

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